

JSW ENERGY LIMITED

A thermal balance sheet funding a renewable company

Institutional research note | July 2026 | NSE: JSWENERGY

Rating

HOLD

derived from the scenario table

CMP (17 Jul 2026)

Rs.561

Mkt cap Rs.98,584cr

Base target price

Rs.625

11.9x FY28E EV/EBITDA

Upside

+11.4%

bear Rs.286 / bull Rs.839

The build is real: 13,454MW at FY26A to 25,905MW by FY30E, EBITDA Rs.10,064cr to Rs.23,536cr. The equity is not. Net debt of Rs.75,038cr at FY27E-end is 4.7x FY28E EBITDA, so the equity is 29% of enterprise value and every 1.0x of EV/EBITDA is worth Rs.87 per share — 15.5% of the price. Reversion to the 16-year mean multiple of 9.0x is Rs.373.

Company overview

India's fifth-largest private generator, mid-transformation

- **What it is.** 5,658MW thermal, 1,631MW hydro and 6,165MW renewables — 13,454MW operational at FY26A, 14,535MW at 30 June 2026, 61% renewable.
- **How it grew.** Almost entirely by acquisition: Mytrah (1,753MW, FY23), Ind-Barath (700MW, FY24–25), KSK Mahanadi (1,800MW via NCLT, FY25), O2 Power (4.7GW, Rs.12,468cr EV, FY26). No proprietary technology.
- **FY26A was the step-change.** Revenue +61% to Rs.18,901cr, EBITDA +93% to Rs.10,064cr — almost entirely first-time consolidation of KSK and O2. Reported PAT rose only 15%, and only because of a Rs.777cr net tax credit.
- **What it cost.** Net debt rose Rs.25,155cr in FY26A alone, to Rs.70,081cr. Leverage 7.0x EBITDA; interest cover 1.70x.
- **Where it trades.** 11.2x FY28E EV/EBITDA, 3.2x FY26A book. Its own 12-month forward multiple has averaged 9.0x since 2010 and sits at 13.9x today.

Corporate structure

The listed entity produced 18% of FY26A segment EBITDA

Exhibit 1 Corporate structure — where the assets and the earnings sit



- The listed parent owns three old thermal plants (2,078MW).
- The entire renewable build sits two levels down, inside JSW Neo Energy.
- KSK Mahanadi — the largest single EBITDA contributor in FY26A at Rs.3,343cr — is only 74% owned.
- Capital sinks: 'Others' lost Rs.642cr of EBITDA in FY26A. The 1GW solar module plant is on hold; SECI BESS-1 (500MW) is in dispute with no impairment taken.
- Entity-level PAT is not disclosed by the company and is not in the model.

Source: FY25 annual report (AOC-1), Q4FY26 and Q1FY27 filings, analyst model.

Six business cycles

Every previous growth cycle ended on a lower return on capital

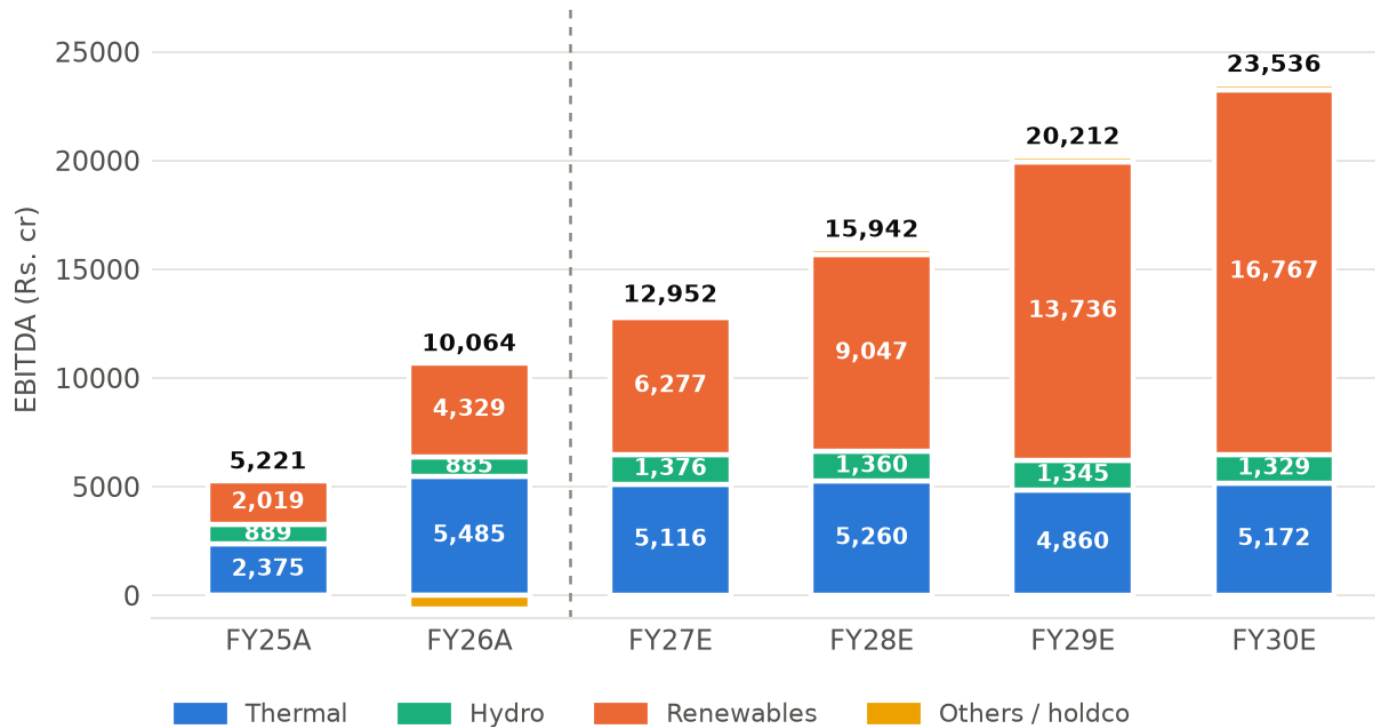
Cycle	Revenue (Rs.cr)	EBITDA margin	Net debt/EBITDA	ROCE	What happened
1. FY05-08 Captive merchant	491 → 1,574	44% → 74%	2.9x → 1.7x	7% → 29%	Vijayanagar only; peak merchant tariffs
2. FY09-13 First build	1,591 → 8,934	18% → 31%	20.0x → 3.6x	2% → 9%	Ratnagiri + Barmer; debt to Rs.10,377cr
3. FY14-19 Stagnation	8,705 → 9,138	37% → 31%	2.9x → 3.6x	8% → 7%	No new capacity; Vijayanagar PLF 95% → 50%
4. FY20-22 Deleveraging	8,273 → 8,167	36% → 44%	3.3x → 2.2x	9% → 7%	Cleanest balance sheet in a decade
5. FY23-26A Re-levering	10,332 → 18,901	32% → 53%	6.3x → 7.0x	4% → 6%	Four acquisitions; net debt up 3.4x
6. FY27E-30E Renewables	26,535 → 39,506	49% → 60%	6.1x → 4.9x	6% → 9%	12,451MW built; first cycle ROCE rises

■ ROCE was 29% in FY08, 9% in FY13, 7% in FY22 and 6.4% in FY26A. The model has it reaching 8.8% by FY30E — still below the 10% WACC in the model's own DCF.

Segments

Renewables go from 40% of EBITDA to 71% by FY30E

Exhibit 3 Segment EBITDA mix — renewables become the business



Revenue (Rs.cr)	FY25 A	FY26 A	FY27E	FY28E
Total Thermal	8,214	13,395	16,788	17,199
Hydro	1,145	1,112	1,707	1,701
Renewables	2,434	4,701	7,133	10,281
Consolidated revenue	11,745	18,901	26,535	30,359

- Thermal is fully built — growth is realisation, not volume.
- Hydro converted 97% of revenue to EBITDA in FY26A. No new capacity planned.
- Renewables converted 85% vs 49% for thermal — the mix is the margin story.
- The model does not carry segment revenue beyond FY28E.

Business model and where the moat sits

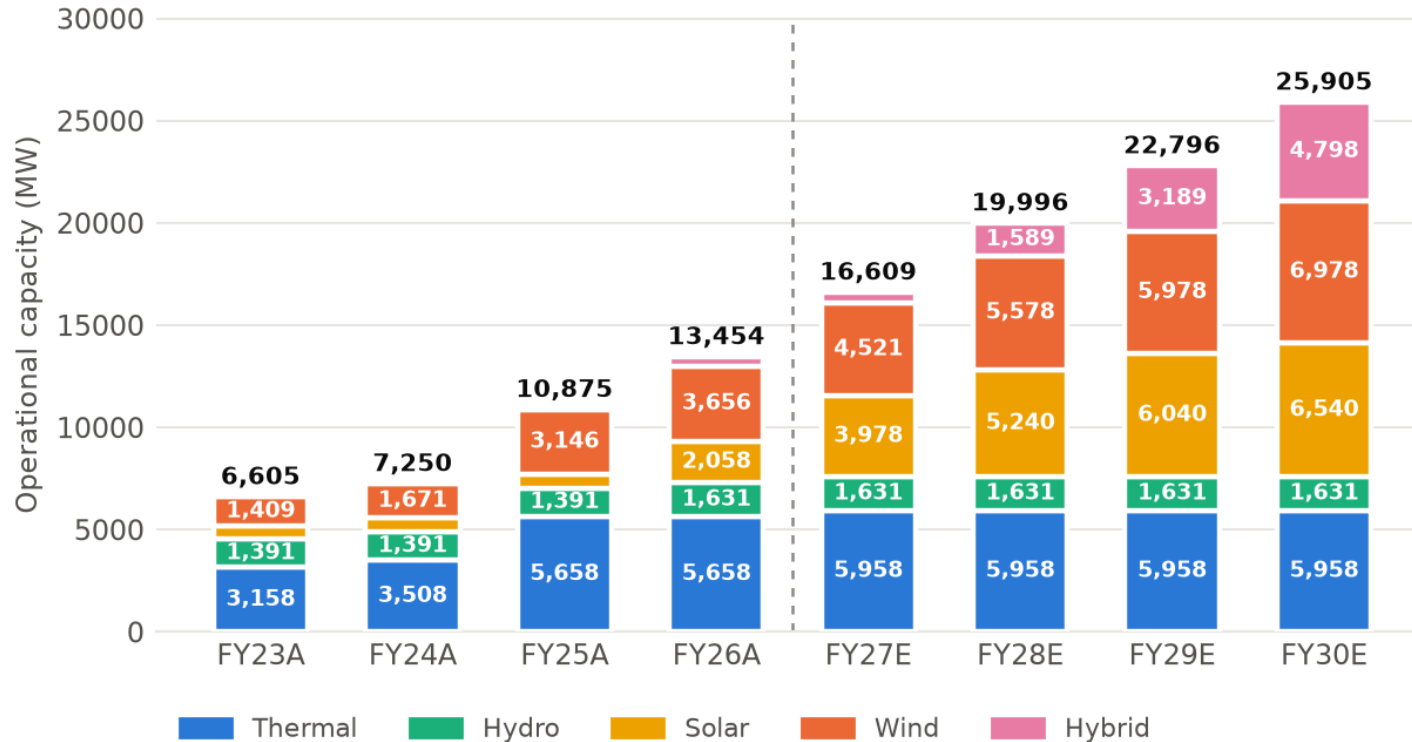
Contracts and cost of capital — not technology

- **Contractual.** 25–40 year PPAs with SECI, NTPC, state discoms; a regulated 15% RoE at Barmer; 14% regulated RoE at Jaigad Transco.
- **Site and connectivity.** Land at scale and grid evacuation are the binding constraint on Indian renewable build — years to assemble.
- **Group offtake.** ~1,730MW sold to JSW Steel, Cement and Paints. A sticky customer base and a related-party concentration at the same time.
- **Cost of capital.** In a reverse auction everyone buys the same panels. The cheapest funder wins. AA rating helps; 2.3x net debt/equity does not.
- **What there is not.** No technology, no IP, no pricing power. This is an assets-and-contracts business.
- **Capital intensity is the defining feature.** Rs.88,885cr gross block on Rs.18,901cr revenue — a 0.25x asset turn, falling to 0.24x by FY30E. Rs.70,428cr of cumulative FY27E–FY30E operating cash flow does not cover Rs.89,565cr of capex, let alone Rs.33,098cr of interest.

Capacity and capex

12,451MW to build in four years

Exhibit 4 Operational capacity build by technology, FY23A-FY30E



	FY26 A	FY27 E	FY28 E	FY29 E	FY30 E
Capacity (MW)	13,454	16,609	19,996	22,796	25,905
Added in year (MW)	2,579	3,155	3,387	2,800	3,109
Storage (MW)	0	0	875	875	2,375
Capex (Rs.cr)	10,112	21,229	21,864	21,656	24,816
Capex per MW (Rs.cr)	3.9	6.7	6.5	7.7	8.0

■ Kutehr hydro: original CoD Sep-2024, commissioned FY26 — 18 months late.

■ Hetero wind 125MW: CoD 31-Mar-2023 in the tracker, still under construction.

■ SECI BESS-1 500MW: LoA Jul-2022, in dispute, no impairment taken.

■ Salboni 1,600MW thermal is under construction but is NOT in the model.

Industry and growth drivers

Fast supply, slow demand — the tension in the story

- **Where India is.** 533GW installed at Mar-2026; 283.5GW non-fossil (53%), including 274.7GW renewables. JSW Energy is ~2.7% of national capacity.
- **Visible now — renewable share gain.** Solar generation +24% and wind +11% year-on-year in Q4FY26, against total generation growth of just 3%.
- **Visible now — the policy mandate.** 500GW of non-fossil by 2030 requires ~54GW of additions a year. The SECI/NTPC/state tender pipeline is the mechanism.
- **Prospective — the storage premium.** FDRE, hybrid and RTC tenders price above plain solar. JSW moves from 451MW of hybrid to 4,798MW plus 3,000MW BESS and 3,300MW of pumped storage.
- **The tension.** Q4FY26 generation growth of 3% was the slowest in six years while renewable capacity kept compounding. Flat demand plus fast supply is the classic setup for curtailment and merchant tariff compression.

Competitive position

Cheap capital is the moat — and it is getting more expensive

Peer	EV/EBITDA	P/E	Comment
JSW Energy	11.2x FY28E	44.0x FY26A	13.5GW; 2.3x net debt/equity; ROCE 6.4%
NTPC	~11.0x	~12.8x	~80GW+, sovereign, regulated RoE — the floor
Tata Power	~13.8x	~33.4x	Closest structural comparable
Adani Power	~24.4x	n/a	Largest listed private thermal by mkt cap
Adani Green	>17x	>50x	Pure-play RE — the implicit SOTP anchor

- JSW's ROCE averaged 5.4% over FY23A-FY26A. NTPC on a regulated base and Tata Power on an integrated model both run materially higher.
- A 60% EBITDA margin on a 0.24x asset turn is how a business looks highly profitable on the income statement and mediocre on capital.
- Peer multiples are trailing secondary-source figures, not reconciled to audited accounts. Like-for-like peer growth, margin and ROCE were not obtainable — a gap.

Investment thesis

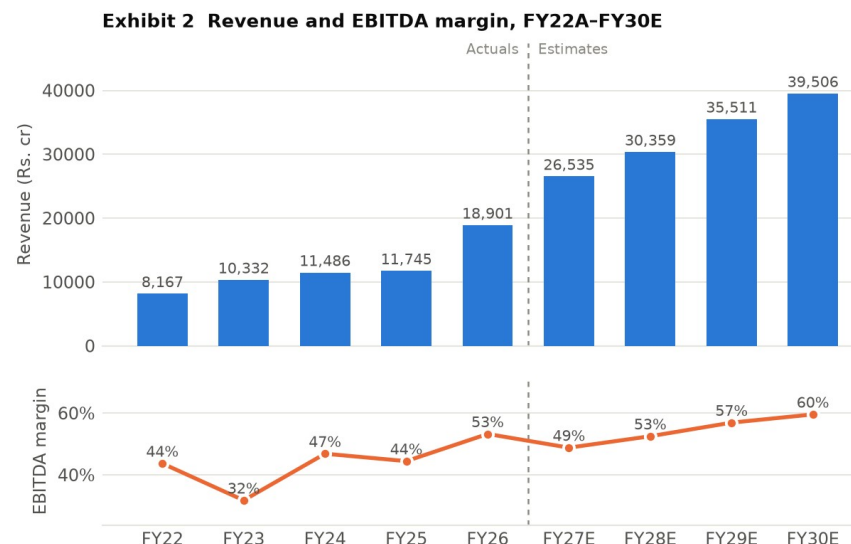
The market is right about the EBITDA and wrong about who owns it

- **Variant perception.** The market treats JSW Energy as a renewable compounder deserving a growth multiple. The EBITDA does more than double. But 92% of that growth is debt-funded renewable capacity, and the equity is 29% of enterprise value — so the price is a geared bet on the exit multiple.
- **1. The build is real and checkable.** 13,454MW to 25,905MW; EBITDA Rs.10,064cr to Rs.23,536cr, a 24% CAGR. 2,579MW came in FY26A, 1,081MW since April 2026 against a 3,155MW FY27E requirement.
- **2. The margin expansion is mechanical.** Renewables convert 85% of revenue to EBITDA vs 49% for thermal. Consolidated margin 53.2% → 59.6% on mix alone. Fuel falls from 29.5% of revenue to 25.5%.
- **3. But the equity is a thin, geared claim.** Net debt Rs.75,038cr at FY27E-end = 4.7x FY28E EBITDA. Each 1.0x of multiple = Rs.87/share = 15.5% of the price. 9.0x gives Rs.373; 11.9x gives Rs.625.
- **4. And returns still do not clear the cost of capital.** ROCE 6.4% FY26A → 8.8% FY30E, against the 10% WACC in the model's own DCF.

Financial performance

FY26A doubled EBITDA; PAT grew 15% and only on a tax credit

Rs. cr	FY26A	FY27E	FY28E	FY29E	FY30E
Revenue	18,901	26,535	30,359	35,511	39,506
growth, yoy	61%	40%	14%	17%	11%
EBITDA	10,064	12,952	15,942	20,212	23,536
EBITDA margin	53.2%	48.8%	52.5%	56.9%	59.6%
Interest expense	5,816	6,196	7,510	9,309	10,084
Effective tax rate	-39.3%	25.0%	25.0%	25.0%	25.0%
PAT after minority	2,239	2,823	3,626	4,704	5,791
EPS (Rs.)	12.74	15.40	19.28	25.01	30.78
ROE	7.9%	8.3%	9.1%	10.6%	11.8%
ROCE	6.4%	6.3%	7.3%	8.3%	8.8%



- FY26A's tax charge was NEGATIVE Rs.777cr on positive PBT. At the 25% rate the model uses from FY27E, FY26A PAT would be ~Rs.969cr, not Rs.2,239cr — reported earnings growth of +15% becomes about -50%.

Cost structure and returns

Margin is mix; cash conversion is not the problem — capex is

% of revenue	FY26A	FY27E	FY28E	FY29E	FY30E
Fuel cost	29.5%	32.3%	30.0%	27.2%	25.5%
Employee cost	3.9%	4.2%	3.9%	3.5%	3.3%
Other expenses	12.9%	14.1%	13.1%	11.9%	11.2%
EBITDA margin	53.2%	48.8%	52.5%	56.9%	59.6%

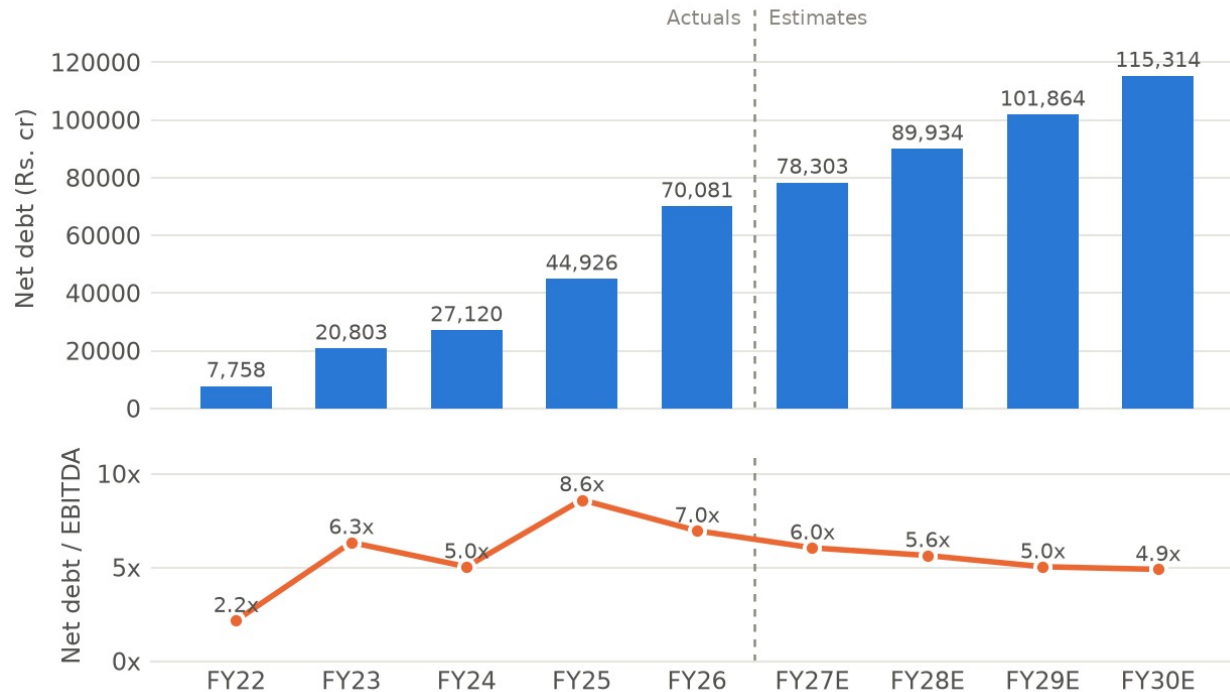
Rs. cr	FY26A	FY27E	FY28E	FY29E	FY30E
Operating cash flow	9,898	12,720	16,319	19,486	21,902
Capex	(10,112)	(21,229)	(21,864)	(21,656)	(24,816)
Free cash flow	(213)	(8,509)	(5,545)	(2,170)	(2,915)
FCF post interest	(6,169)	(14,705)	(13,055)	(11,478)	(12,999)
Pre-tax OCF/EBITDA	101%	106%	110%	104%	101%

- **Fuel is the only variable cost.** Renewables and hydro have none, so the cost base goes from ~63% fixed at the FY26A mix to ~75% fixed by FY30E.
- **Operating leverage is asymmetric.** A 10% renewable generation shortfall hits EBITDA almost one-for-one; a 10% thermal shortfall costs about half that.
- **Cash converts at the EBITDA line.** Pre-tax OCF/EBITDA of 101–110% through the forecast; debtor days improved from 81 to 57 in FY26A.
- **It does not convert at the equity line.** Cumulative FCF after interest of NEGATIVE Rs.53,993cr over FY27E–FY30E. There is no year in the model in which the company self-funds.

Balance sheet and capital allocation

Rs.73,000cr deployed in five years; ROCE went from 7.1% to 6.4%

Exhibit 6 Net debt and leverage, FY22A-FY30E



■ **The record, FY22A-FY26A.** Rs.25,007cr of operating cash flow. Spent Rs.31,382cr on capex and Rs.26,537cr acquiring subsidiaries, paid Rs.11,760cr of interest and ~Rs.1,700cr of dividends. Funded with Rs.66,953cr of new debt and Rs.6,069cr of new equity.

■ **The path from here.** Net debt rises every single year, Rs.70,081cr to Rs.115,314cr. Leverage falls from 7.0x to 4.9x only because EBITDA rises faster. Management's sub-5.0x target is reached in FY29E at the earliest.

■ **Two flags.** A dividend maintained through four years of large negative free cash flow; and Rs.8,265cr of idle JSW Steel shares held while borrowing at an implied 8-9%. The model assumes Rs.2,887cr of that is sold in FY27E — we could not verify the disposal has been announced.

The multiple, 2010–2026

EBITDA doubled in FY26A and the multiple compressed

Exhibit 7 JSW Energy 12-month forward EV/EBITDA, Mar-2010 to Jul-2026



■ **FY11–20.** Derated 9–11x to 5–6x, trough 3.9x. No new capacity; Vijayanagar PLF 95% → 50%.

■ **FY21–22.** 5.8x to 22.4x. JSW Neo formed, 20GW target announced, leverage at 2.2x — the cleanest balance sheet in a decade.

■ **FY23.** Back to 10.3x. EBITDA fell 8% on imported coal; leverage jumped to 6.3x on Mytrah.

■ **FY24–25.** Back to a 20.1x peak on Ind-Barath, KSK and a Rs.4,944cr QIP.

■ **FY26A to date.** 12.0x–14.9x, now 13.9x. EBITDA nearly doubled while the average multiple fell from 16.9x (2024) to 13.2x (2026). The market took the EBITDA and refused to keep paying for it.

■ **Gap.** A monthly closing-price series is not in the model — the narrative is told through the multiple plus the 52-week range of Rs.428–617.

Valuation

Base Rs.625 = 11.9x FY28E EV/EBITDA less FY27E-end net debt

Scenario	Mult.	Applied to	EBITDA	Equity value	Target	vs CMP
Bear	8.0x	FY28E	15,942	52,497	Rs.286	(49%)
Downside case	10.2x	FY28E	15,942	87,569	Rs.478	(15%)
Base	11.9x	FY28E	15,942	114,671	Rs.625	+11%
Bull	11.9x	FY29E	20,212	153,849	Rs.839	+50%
16-yr mean multiple	9.0x	FY28E	15,942	68,439	Rs.373	(33%)

- **Sensitivity.** FY28E EBITDA 10% below forecast → Rs.522, a 7% DOWNSIDE. Margin at 50.0% instead of 52.5% → Rs.576. Mean-reversion to 9.0x → Rs.373.
- **Minority adjustment.** EV/EBITDA values 100% of KSK but the parent owns 74%. Deducting the minority share of FY28E KSK EBITDA at 11.9x removes Rs.43 per share — an adjusted base of ~Rs.582, under 4% upside.
- **Not credited in the base.** JSW Steel stake Rs.36/share; Salboni 1,600MW; KSK units 3-6.
- **The cross-check.** The model's own asset-based SOTP is Rs.510 — BELOW the market price. The two methods bracket the CMP. That is what fairly valued looks like.
- **Why no DCF.** FCFE is negative in four of seven forecast years and the terminal value is negative; the model's DCF returns minus Rs.376 per share. An artefact, not a signal. No weight placed on it.

Governance and management

Good disclosure, aligned promoter, unverified tail risks

Parameter	Status	Comment
Promoter holding	66.5% (Jun-26) from 69.3% (Sep-24)	Dilution from QIPs, not selling. Rs.625cr of warrants already subscribed at Rs.525; Rs.1,875cr still payable.
Institutional trend	FII 14.9% → 11.4%; DII 9.8% → 16.2%	Foreign investors have sold for two years; domestic institutions absorbed the stock and the QIP.
Concalls / disclosure	Quarterly, granular	Segment and commissioning detail above sector norm.
Related party	Material, quantum unverified	~1,730MW sold to JSW Steel, Cement, Paints; fuel JV with a state entity.
Pledge / auditor / board / litigation	NOT VERIFIED	Could not be confirmed for this note. Read the FY26 AR notes before sizing a position.
Guidance vs delivery	On plan in aggregate, late on projects	Kutehr 18 months late; Hetero wind 3 years late; SECI BESS-1 stalled; solar module plant on hold. But 2,579MW did commission in FY26A.

- Sajjan Jindal (Chairman & MD) — the key-man and capital-allocation authority. Sharad Mahendra (Joint MD & CEO since Feb-2024). Pritesh Vinay (Director Finance & CFO).
- The model's own target of 28.3GW by FY30E is ~6% below the company's stated 30GW — the estimates used here are slightly more conservative than guidance.

Triggers and risks

What to watch, and what would break the thesis

TRIGGERS — dated and checkable

- Q2FY27 (Oct-2026): EBITDA must run Rs.3,360cr/quarter for 9 months vs Rs.2,873cr in 1QFY27.
- Standalone segment revenue: FY27E assumes Rs.6,612cr vs Rs.3,030cr in FY26A and Rs.1,101cr delivered in 1QFY27.
- QIP completion and price — Rs.4,000cr at Rs.525 is already in the share count.
- Promoter warrant conversion — Rs.1,875cr still payable at Rs.525.
- Quarterly MW commissioned — 3,155MW needed in FY27E, 873MW came in Q1.
- JSW Steel stake sale — Rs.2,887cr is booked in FY27E.

RISKS — most damaging first

- Multiple compression. Each 1.0x = Rs.87/share. Mean reversion to 9.0x is Rs.373, a 33% loss with no operational change.
- Renewable execution slippage. A one-year slip removes Rs.3,000–4,000cr of FY30E EBITDA — over Rs.200/share of target.
- Funding. Rs.53,993cr of negative post-interest FCF; needs Rs.40,532cr of new debt on 1.7–2.2x interest cover.
- Merchant and curtailment. 700MW at Ind-Barath has no PPA; supply is growing faster than demand.
- Earnings quality. FY26A's tax credit, and minority interest modelled to fall from Rs.523cr to Rs.24cr — worth 18% of FY28E EPS.
- Analytical risk. Contingent liabilities, litigation, auditor opinion, pledge and RPT quantum are all unverified.

Falsification test: sell if FY27 EBITDA lands below Rs.11,500cr AND net debt/EBITDA is above 6.5x at FY27-end — the build has neither delivered nor been funded. Upgrade to buy if FY27 EBITDA exceeds Rs.13,000cr, leverage closes below 5.5x and the QIP prices at or above Rs.525.

Final outlook

HOLD | Base TP Rs.625 | +11.4% | CMP Rs.561

Bear 8.0x FY28E

Rs.286

(49%)

Base 11.9x FY28E

Rs.625

+11%

Bull 11.9x FY29E

Rs.839

+50%

Model SOTP

Rs.510

(9%) — below CMP

- **The business is genuinely better than it was.** From 6,605MW to 13,454MW in four years, from a stagnant thermal generator to a company where renewables supply 71% of EBITDA by FY30E, on 25-40 year fixed-tariff PPAs, with an AA rating and a promoter subscribing equity at Rs.525.
- **The base target requires nothing heroic.** Only that FY28E EBITDA of Rs.15,942cr is delivered and the market keeps paying roughly what it pays today. No re-rating, no acquisition, and no credit for Salboni, KSK units 3-6 or the Rs.36/share JSW Steel stake.
- **But the risk-reward is not asymmetric.** 11% base upside against 33% downside on a mean-reverting multiple; a 10% EBITDA miss alone flips +11% to -7%; and terminal ROCE of 8.8% is still below the model's own 10% WACC. An asset-based SOTP of Rs.510 and a forward-multiple target of Rs.625 bracket the current price.
- **What caps position sizing.** Unverified contingent liabilities, litigation, auditor commentary, pledge and RPT quantum, inside a promoter-controlled structure where 26% of the best asset already belongs to someone else. Buy on evidence — FY27 EBITDA above Rs.13,000cr with leverage under 5.5x — or nearer Rs.480.